

# IT Industry

## Industry Overview

- The Indian IT industry is projected to reach **\$315 billion in revenue** (6.1% growth), reinforcing its role as a **global tech and innovation hub**.
- Exports are set to cross \$246 billion** (5.6% growth), while the **domestic tech market** is growing at **7.9%** to reach **\$64 billion**.
- With improving demand, **135,000 new jobs** were added, bringing the total **employee base to 5.95 million** (2.3% YoY growth).
- USA and BFSI** continue to lead growth; **Europe, APAC, Retail, and Healthcare** are emerging as strong contributors.

(Source) - [NASSCOM-Technology Sector Strategic Review 2026](#)

## Innovative Capabilities

- TCS**: AI-led transformation programs scaling across banking, retail & manufacturing accounts in FY26
- Infosys "Topaz"**: Responsible-AI suite expanding across enterprise use cases & modernization programs

## Growth Drivers

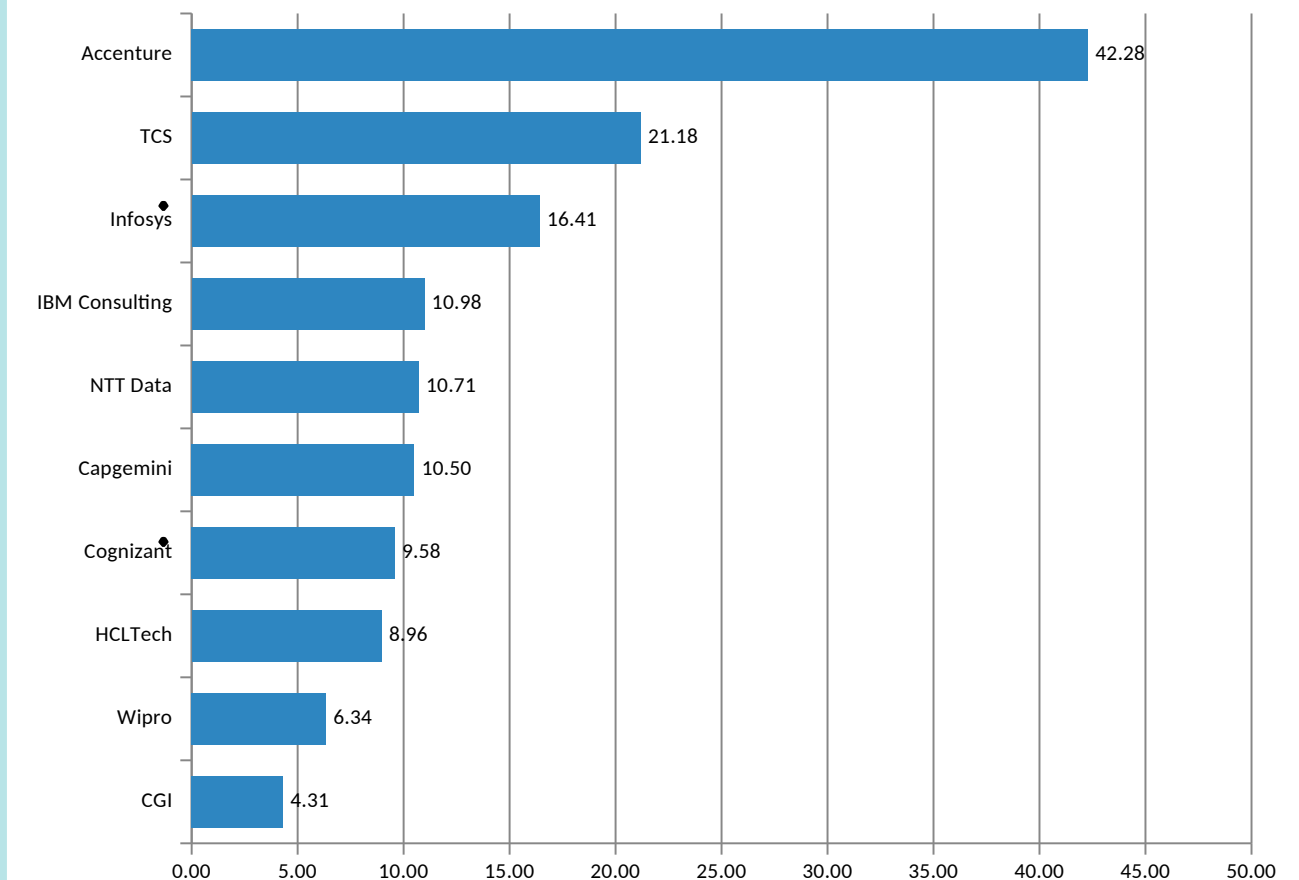
Driven by **rising demand across sectors like retail, healthcare, and utilities**, and powered by India's **vast skilled talent pool**, the IT industry continues to scale rapidly.

India's **AI revenue is set to reach \$10-12 billion in FY26**, making it the world's second-fastest growing, driven by **digital transformation and post-pandemic innovation**.

India's **IT exports**, driven by global demand and a skilled workforce, have surged to **over \$246 billion**, making the sector a key pillar of economic growth.

Driven by initiatives like **Digital India and UPI**, India's digital transformation is reshaping service delivery, **with 850 million users** powering a fast-growing digital economy.

## Ranking of IT services companies worldwide in 2026, by brand value

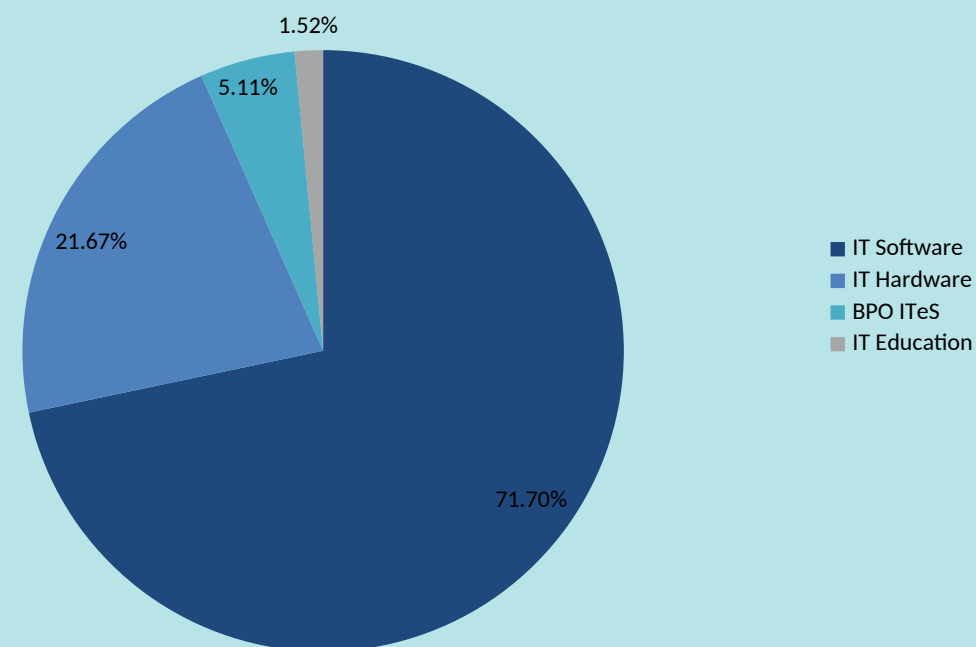


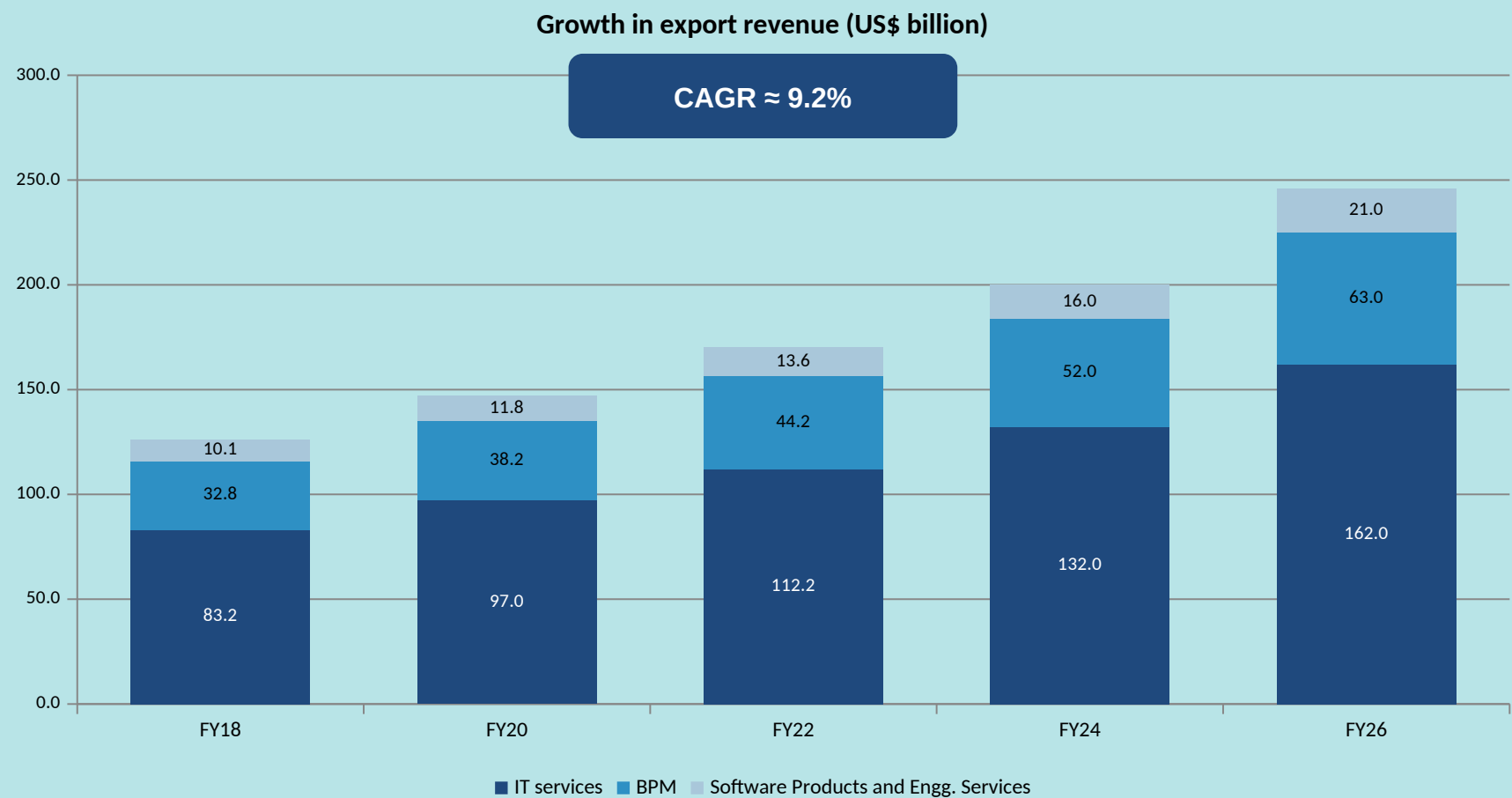
(Source)- Statista Report

## Government Initiatives

- The Union Budget 2026-27 continues incentives for cloud data centres and R&D, supporting sector expansion.
- In March 2024, the Government approved ₹10,372 crore (around \$1.25 billion) for the IndiaAI Mission, which aims to enhance the country's AI ecosystem.
- The PLI Scheme – 2.0 for IT hardware was approved with a budget of ₹17,000 crore (about \$2.06 billion).

Segment-wise Market Share





(Source) - NASSCOM SR 2026 & IBEF, IT & BPM – Feb 2026

## Advantage India – Key Highlights (2026)

- **Growing global demand is lifting India’s IT industry to US\$315B in FY26 (up from US\$297B in FY25), a 6.1% rise, with IT exports reaching US\$246B (+5.6% YoY).**
- **India’s tech sector aims to double revenue to US\$500B by 2030**, bolstered by strong digital competitiveness and a surge in foreign investments, including 4× growth in Japanese FDI.
- **Indian IT firms maintain a wide global footprint with delivery centers across continents**, and diversified vertical presence in BFSI, telecom, and retail, enabling end-to-end global solutions.
- **Policy support remains strong, with the IndiaAI Mission and Budget 2026-27 incentives for cloud data centres and R&D supporting sector expansion.**

(Source) – IBEF, IT & BPM (Feb 2026)

## Key Ratios

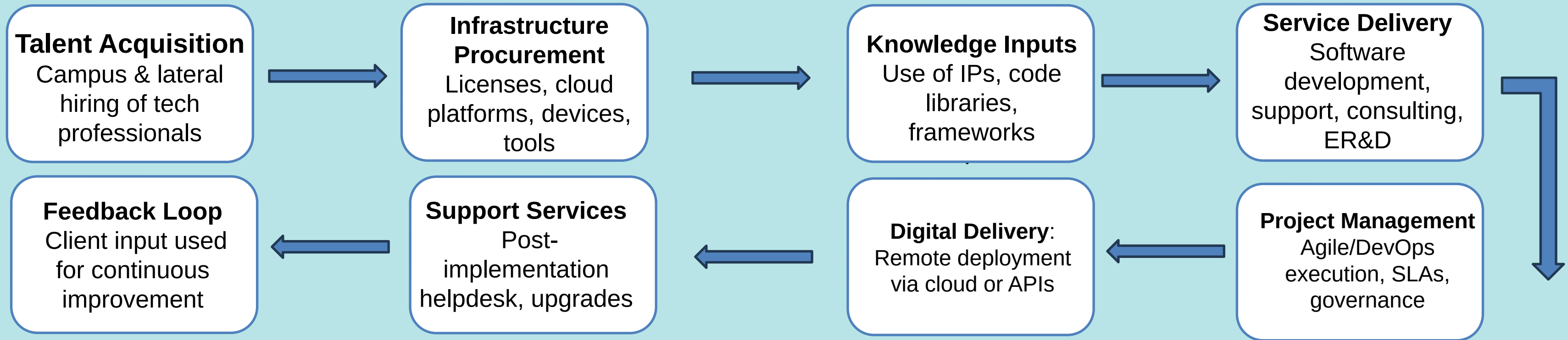
| Ratio                | IT Industry    | Other Industries               |
|----------------------|----------------|--------------------------------|
| Fixed Asset Turnover | Very High      | Low-Moderate                   |
| Total Asset Turnover | Moderate       | Varies by industry             |
| Operating Margin     | High (20–30%)  | Lower (10–20%)                 |
| Employee Utilization | Critical KPI   | Rarely relevant                |
| Inventory Turnover   | Not Applicable | Core metric in product-based   |
| ROCE                 | Very High      | Moderate                       |
| R&D Spend %          | Low-Moderate   | Higher in R&D-heavy industries |

## Latest News / Market Shifts

- **TCS layoffs:** Layoff of around 12,000 jobs, especially among mid- and senior management roles—automation and AI reshaping job structures; sparked union protests [Reuters](#)
- **Muted net hiring Q1 FY26:** Top IT firms added ~4,800 net hires—notably fewer full-time hires; hiring increasingly domain-specific rather than fresher-focused [The Times of India](#)
- **Export outlook strong:** FY26 IT export run-rate at US\$246B (+5.6% YoY), with resilient demand in Europe and steady US demand [The Economic Times](#)

# IT Industry

## Customer Journey



## Porter's Five Forces

| Threat of new entrants (LOW)                                                                                                                                                                                                                                            | Bargaining power of buyers (HIGH)                                                                                                                                                                                        | Bargaining power of suppliers (LOW)                                                                                                                                                                                 | Threat of substitute products (LOW)                                                                                                                                                                                                                         | Rivalry among existing competitors (HIGH)                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• High barriers: scale, client relationships, certifications &amp; global delivery capability</li> <li>• Startups operate only in niche segments</li> <li>• Large-cap incumbents dominate multi-year enterprise deals</li> </ul> | <ul style="list-style-type: none"> <li>• Many competing providers; clients push outcome-based pricing</li> <li>• AI productivity gains of 20-40% strengthen buyer leverage; hyperscalers adding advisory arms</li> </ul> | <ul style="list-style-type: none"> <li>• Software vendors have moderate pricing power; cloud hyperscalers (AWS, Azure, GCP) gaining leverage</li> <li>• Niche AI/ML specialists command premium salaries</li> </ul> | <ul style="list-style-type: none"> <li>• Building in-house IT arms is costly and risky</li> <li>• Rival geographies lack India's combined scale &amp; cost advantage</li> <li>• AI-enabled automation could partially substitute lower-end tasks</li> </ul> | <ul style="list-style-type: none"> <li>• Intense competition for market share and AI talent</li> <li>• Mid-tiers outpacing large-caps; ~135 M&amp;A deals in H1 2025</li> </ul> |